



PHOTO BY SUBIR HALDER

**AN EYE ON COSTS** H.M. Bangur,  
MD, Shree Cement

## Key Highlights

- ① Under H.M. Bangur, Shree Cement came back from the brink of bankruptcy in the mid-1990s to become one of the largest players in cement
- ② Huge focus on cost control starting with importing coal from Indonesia and going with captive power
- ③ Made a mark in north India initially before moving to a pan-India presence
- ④ Barring one buyout in 2014, the growth story of Shree Cement has been completely organic
- ⑤ It has a capex outlay of ₹4,500 crore over the next two years

the lead was to have split grinding units across many locations, with the north, its biggest market, having five. Shah says having them in strategic locations gives the advantage of proximity to user markets and efficiency when it comes to logistics costs. Above all, overall transport costs are down by 20 per cent.

This kind of attention to costs means a buyout must pass through many filters. If its rivals have been aggressively acquiring cement plants, Shree Cement is an exception. In mid-2014, it picked up Jaypee Group's 1.5-million tonne grinding unit in Panipat for ₹360 crore. That remains its only buyout. "There is no doubt that one saves time through a buyout but the asset has to be in line with our cost structure," insists Bangur, the winner in the Cement category of the BT-PwC India's Best CEOs ranking.

Expanding operations takes a good part of Bangur's daily schedule. That means a good geographical presence outside the north. The capex outlay is ₹4,500 crore over two years and the growth plan finds favour with Shah.

"From FY07, Shree Cement has always reported double-digit return on equity indicating efficiency on both capital allocation and cost of operations. We believe the same is going to be maintained while achieving the aim of doubling the capacity in every seven years," he says. To him, the surplus liquidity of over ₹8,000 crore now means the company is in a strong position to fund its new expansion.

For years, Bangur has had two things to keep him busy outside work. One is playing volleyball at his Kolkata home with a large group of friends, a tradition that remains. The other is to take the competitive Common Admission Test for various management institutes. His interest dipped since the time it moved online. "The paper and pencil format is easier since I am not very technologically savvy," he says. Given that he runs a massive cement operation based on high levels of technology, that is a little ironic. But as long he keeps running a tight ship, it does not matter. **BT**

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